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Tower Semiconductor Ltd

Towering from Silicon Wadi – Initiate at Buy

Initiating Coverage: BUY | PO: 367.00 USD | Price: 224.70 USD

07 August 2026

Equity

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Dominant SiPho foundry with 62% proj. EBITDA CAGR

We initiate coverage of Tower Semiconductor, an Israel-based foundry specializing in high-value analog and mixed signal manufacturing with fabs in Israel, US, and Japan. Tower has market-leading share in manufacturing the SiPho PICs that are used for pluggable transceivers in AI data centers, and we estimate SiPho revenue doubling in 2026E, with visibility to further growth in 2027E and beyond. We project the optical buildout in and around data centers to drive 62% EBITDA CAGR for Tower from 2025-28E and we sit 13%/28% above css on FY27/28E EPS. We initiate Tower on a Buy rating with PO of $367/ILS 1,020 on 20x FY28E EV/EBITDA, within its recent range of 8-40x.

Demand > supply dynamics lead to upside to ’28 guide

Tower is the leading SiPho PIC manufacturer with the clearest demand visibility and dominant share in supplying 1.6T PICs for AI servers. While competitors are ramping SiPho production to pursue opportunities in the fast-growing AI optical connectivity market (BofAe: 57% unit CAGR CY25-28E), we believe Tower’s technological lead will enable it to maintain its market share, and we highlight Tower’s significant capacity expansion plans through the end of the decade as optical demand exceeds supply. We see potential upside to its 2028E guidance, driven by higher utilization and pricing.

NPO and XPO to enable further content acceleration

While pluggable transceivers are the dominant optical connectivity form currently particularly in scale-out solutions, we expect NPO (from 2027E) and XPO (from 2029E) to ramp for scale-up, enabling greater optical bandwidth and thus increasing the optics TAM for Tower. NPO could also accelerate SiGe revenue growth through Tower-fabricated EICs in addition to PICs.

CPO overhang is overstated; Tower could gain share

We believe market expectations of TSMC COUPE capturing significant CPO foundry share are largely priced in, and that Tower’s CPO presence may be underappreciated given its leading PIC platform and strong positioning with networking and ASIC customers that favor a more open ecosystem supplier. Additionally, the rise of NPO suggests CPO adoption may be more gradual than previously expected.

Estimates (Dec) (USD)	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**
EPS (Adjusted Diluted)	2.13	2.27	3.96	7.43	12.5
EPS Change (YoY)	-0.7%	6.6%	74.4%	87.4%	68.4%
EPS (Adjusted Diluted - XSEMF - US$)	2.13	2.27	3.96	7.43	12.5
Valuation (Dec)					
P/E	105x	98.8x	56.7x	30.2x	18.0x
EV / EBITDA*	55.3x	50.9x	32.7x	19.3x	12.1x
Free Cash Flow Yield*	0.07%	-0.16%	0.17%	0.61%	4.24%

* For full definitions of *iQmethod*SM measures, see page 34.

Stock Data

Price (NAS / TLV)	224.70 USD / 661.00 ILS
Price Objective	367.00 USD / 1,020 ILS
Date Established	7-Aug-2026 / 7-Aug-2026
Investment Opinion	C-1-9 / C-1-9
52-Week Range	45.51 USD-319.94 USD
Market Value (mn)	25,398 USD
Shares Outstanding (mn)	113.0 / 113.0
Average Daily Value (mn)	454.16 USD
Free Float	92.7%
BofA Ticker / Exchange	TSEM / NAS
BofA Ticker / Exchange	XSEMF / TLV
Bloomberg / Reuters	TSEM US / TSEM.OQ
ROE (2026E)	14.6%
Net Dbt to Eqty (Dec-2025A)	-2.5%

Glossary: See appendix

*iQprofile*SM Tower Semiconductor Ltd

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(US$ Millions)					
Sales	1,436	1,566	2,035	3,019	4,015
EBITDA Adjusted	458	497	773	1,314	2,098
Depreciation & Amortization	(266)	(303)	(336)	(400)	(500)
EBIT Adjusted	191	194	436	914	1,598
Net Interest & Other Income	26.1	46.2	45.4	40.0	40.0
Tax Expense / Benefit	(10.2)	(21.6)	(67.3)	(143)	(246)
Net Income (Adjusted)	241	260	454	850	1,432
Average Fully Diluted Shares Outstanding	113	114	114	114	114
Key Cash Flow Statement Data					
Net Income (Reported)	208	220	414	811	1,392
Depreciation & Amortization	266	303	336	400	500
Change in Working Capital	(102)	(10.1)	(50.4)	(205)	139
Deferred Taxation Charge	0	0	0	0	0
Other CFO	76.2	(118)	45.0	(50.7)	45.6
Cash Flow from Operations	**449**	**395**	**746**	**955**	**2,077**
Capital Expenditure	(432)	(437)	(703)	(800)	(1,000)
(Acquisition) / Disposal of Investments	31.4	38.5	(24.9)	40.0	(150)
Other CFI	0	0	0	0	0
Cash Flow from Investing	**(400)**	**(398)**	**(728)**	**(760)**	**(1,150)**
Share Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	0	0	0	0	0
Increase (decrease) debt	(50.3)	(23.2)	(29.8)	(20.0)	(20.0)
Other CFF	17.8	(10.1)	4.13	0	0
Cash Flow from Financing	**(32.5)**	**(33.4)**	**(25.7)**	**(20.0)**	**(20.0)**
Total Cash Flow (CFO + CFI + CFF)	**16.0**	**(36.0)**	**(8.02)**	**175**	**907**
FX and other changes to cash	(4.76)	(0.56)	(2.47)	0	(907)
Change in Cash	11.2	(36.5)	(10.5)	175	0
Change in Net Debt	(61.5)	13.3	(19.3)	(195)	(20.0)
Net Debt	(87.2)	(73.9)	(93.2)	(288)	(308)
Key Balance Sheet Data					
Property, Plant & Equipment	1,287	1,463	1,840	2,240	2,740
Goodwill	272	0	0	0	0
Other Intangibles	0	0	0	0	0
Other Non-Current Assets	23.4	150	136	136	136
Trade Receivables	212	223	273	438	267
Cash & Equivalents	272	235	225	400	400
Other Current Assets	1,276	1,251	1,510	1,543	1,575
Total Assets	3,342	3,322	3,983	4,756	5,117
Long-Term Debt	132	133	115	94.8	74.8
Other Non-Current Liabilities	22.8	20.6	171	171	171
Short-Term Debt	52.3	28.1	16.9	16.9	16.9
Other Current Liabilities	233	236	356	394	414
Total Liabilities	440	418	658	677	676
Total Equity	2,902	2,905	3,324	4,079	4,441
Total Equity & Liabilities	3,342	3,322	3,983	4,756	5,117
Business Performance*					
Return On Capital Employed	5.68%	5.64%	11.2%	19.4%	30.0%
Return On Equity	8.64%	8.94%	14.6%	23.0%	33.6%
Operating Margin	13.3%	12.4%	21.4%	30.3%	39.8%
Free Cash Flow (MM)	17.0	(41.1)	42.6	155	1,077
Quality of Earnings*					
Cash Realization Ratio	1.86x	1.52x	1.64x	1.12x	1.45x
Asset Replacement Ratio	1.62x	1.44x	2.09x	2.00x	2.00x
Tax Rate	4.69%	8.97%	14.0%	15.0%	15.0%
Net Debt/Equity	-3.00%	-2.54%	-2.80%	-7.06%	-6.94%
Interest Cover	NA	NA	NA	NA	NA

* For full definitions of *iQmethod*SM measures, see page 34.

Company Sector

Semiconductors

Company Description

Tower Semiconductor is an Israeli leading specialty semiconductor foundry providing differentiated analogue and mixed-signal manufacturing technologies to customers across AI infrastructure, communications, power management, imaging, automotive, industrial and consumer markets. Its technology portfolio includes silicon photonics, silicon germanium, RF SOI and CMOS, power-management platforms, CMOS image sensors and mixed-signal CMOS. Tower operates fabs across Israel, the US, Italy and Japan.

Investment Rationale

Our Buy rating is based on (A) Robust silicon photonics end-demand driven by increasing AI data center optical connections, (B) Tower's dominant share in producing SiPho PICs as leading supplier of 1.6T PICs and demand visibility for future years, (C) NPO and XPO to enable further content growth in SiPho and SiGe, and (D) CPO overhang overstated as Tower is well-postioned to take share as an open ecosystem foundry.

Stock Data

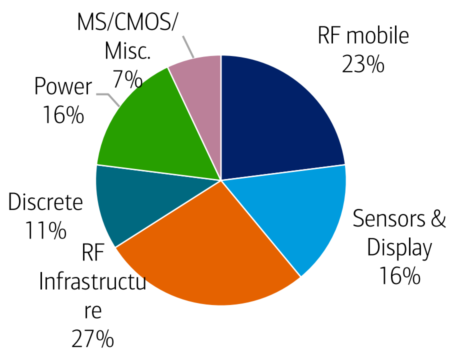
Shares / Common - Dual Listed	1.00
Price to Book Value	7.6x

Quarterly Earnings Estimates

	2025	2026
Q1	0.45A	0.65A
Q2	0.50A	0.88A
Q3	0.55A	1.07E
Q4	0.78A	1.34E

Investment thesis in six charts

Exhibit 1: Tower provides foundry services for various segments with RF Infrastructure the largest (at 27% of mix) and fastest growing
Tower Semiconductor revenue mix by business segment, 2025



Source: BofA Global Research, Tower Semiconductor

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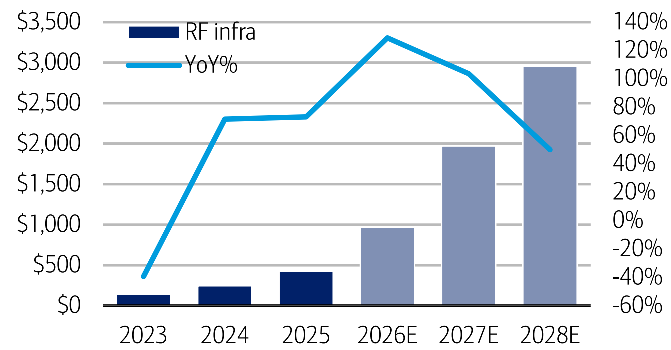
Exhibit 2: We project SiPho driving RF Infrastructure revenue to grow at 91% CAGR from 2025-28E
Tower Semiconductor RF Infrastructure revenue, 2023-28E, $mm



Source: BofA Global Research, Tower Semiconductor

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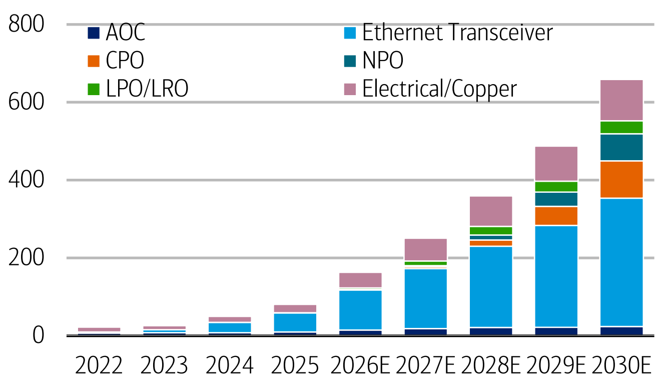
Exhibit 3: The bulk of growth stems from Ethernet Transceiver unit shipments, which continue to rise driven by data center demand
AI Networking units by connectivity type, 2022-30E, mm



Source: BofA Global Research estimates, LightCounting, Dell'Oro, 650 Group

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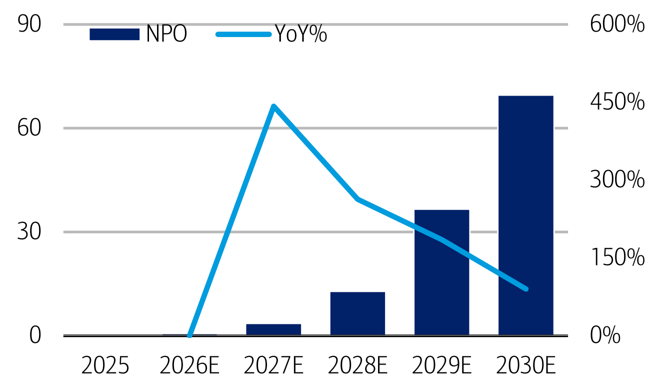
Exhibit 4: NPO shipments are set to ramp sharply from 2027E onwards, which further boosts Tower's revenues given higher optical content
Near-packaged optics (NPO) units, 2025-2030E, mm



Source: BofA Global Research estimates, LightCounting, Dell'Oro, 650 Group

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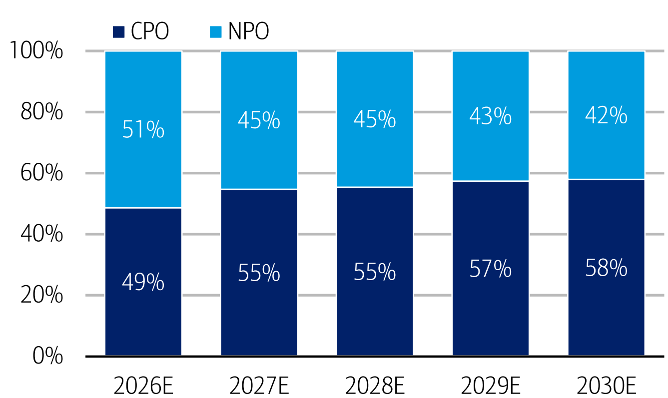
Exhibit 5: CPO is framed as a risk to Tower, but we note its balanced mix with NPO and also note Tower's opportunities within CPO
CPO vs NPO share of combined units (%), 2026-30E



Source: BofA Global Research estimates, LightCounting, Dell'Oro, 650 Group

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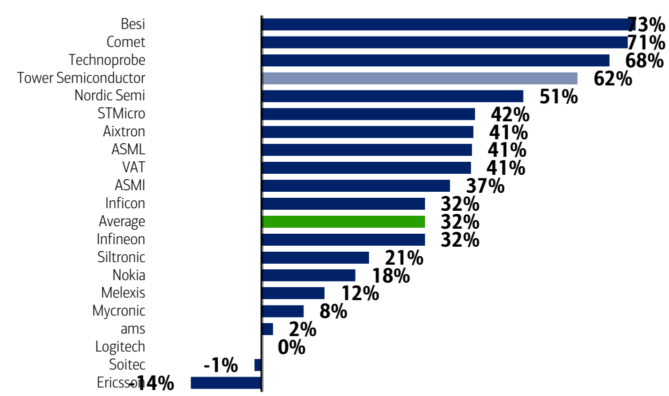
Exhibit 6: Tower's projected EBITDA CAGR is among the highest in our coverage
25-28E EBITDA CAGR for TSEM and our coverage



Source: BofA Global Research estimates, Company reports

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PM Summary – Initiate at Buy

Tower Semiconductor is the leading SiPho PIC foundry and is capturing dominant share in the optical buildout in AI data centers. It is currently in the midst of a multi-year capacity expansion, with customer prepayments booking much of the additional supply, reflecting the supply-constrained market. We project 62% EBITDA CAGR from 2025-28E and are 13%/28% above consensus on FY27/28E EPS. We rate the shares Buy with PO of $367/ILS 1,020 on 20x FY28E EV/EBITDA.

Dominant SiPho foundry with demand exceeding supply

Tower holds the dominant position in the SiPho foundry market, with stronger demand visibility than competitors and a leading position in 1.6T SiPho PICs, currently the key growth segment in data-centre optical communications. Tower has secured contracts with its largest customers representing $1.3bn of 2027 SiPho revenue, supported by $290m of customer prepayments, alongside an even larger contractual wafer commitment for 2028. These commitments represent reserved capacity rather than total demand, with forecasts from Tower's broader base of more than 50 active SiPho customers exceeding the contracted amounts. We expect Tower's structural advantages including technological leadership to enable it to defend its market leadership as competitors ramp. With industry growth limited by the availability of qualified foundry capacity, Tower's planned expansion to more than 5x its 4Q25 SiPho capacity run rate by 4Q26, together with its subsequent significant Japan expansion, positions it to capture growth and we believe there is upside to its 2028 targets based on higher utilization rates, increased pricing and accelerated capacity expansion.

NPO and XPO set to expand Tower's optics TAM

NPO and XPO should materially expand Tower's addressable SiPho market by removing the power, density, cooling and signal-integrity constraints that increasingly limit conventional pluggable optics as switch bandwidth scales. NPO moves optical engines closer to the switch ASIC, while XPO consolidates substantially greater bandwidth into a dense yet serviceable pluggable architecture. Both technologies should also accelerate the migration of shorter-reach data-centre links from copper to optics, increasing total optical-engine and PIC demand. We therefore view NPO and XPO as important enablers of sustained SiPho market growth for Tower, rather than merely alternative form factors to existing pluggables. Additionally, Tower could capture further value from NPO beyond the SiPho PIC through Tower-fabricated EICs, heterogeneous integration and wafer-bonding capabilities incorporated into next-generation optical engines.

CPO overhang is overstated as Tower could win share in multiple ways

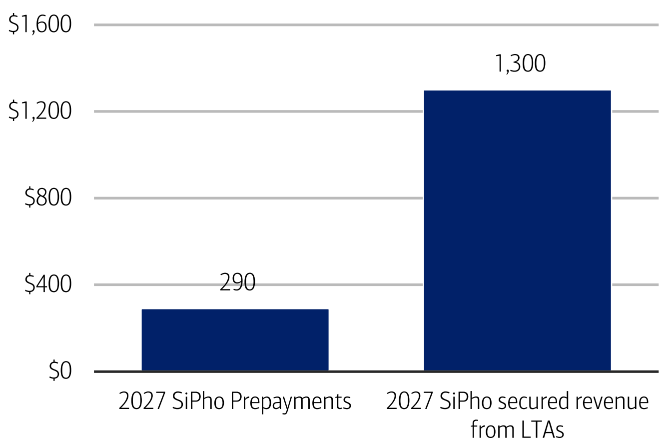
We believe the market overstates the risk that CPO shifts SiPho demand away from Tower and disproportionately toward TSMC. First, the emergence of NPO as a scalable intermediate architecture could moderate the pace and ultimate extent of CPO adoption. Even as CPO scales, we believe Tower's differentiated and superior PIC platform should position it as a leading supplier to networking and custom-ASIC customers seeking a high-performance, open-ecosystem alternative to a tightly integrated TSMC solution. Customer requirements for supply-chain diversification and qualified second sources and potential capacity constraints at TSMC should further benefit Tower. Therefore, we do not see the CPO ramp in the coming years to lead to a slowdown in Tower's growth.

Best-positioned foundry to capture SiPho share with demand exceeding supply

Tower is the leading SiPho foundry with dominant market share currently. Compared to competitors like GlobalFoundries, we believe Tower has the clearest demand visibility and is the primary supplier for 1.6T SiPho PICs, the leading segment in the optical data center communications currently. Tower has signed contracts with its largest customers covering $1.3bn of 2027 SiPho revenue, received $290m of customer prepayments, and secured an even larger contractual wafer commitment for 2028. These reservations represent committed capacity, with the full demand of its 50+ active SiPho customers even larger. We believe Tower has structural advantages that will enable it to sustain its dominant market share, as detailed below. With industry demand increasingly constrained by qualified foundry capacity, Tower's planned expansion to 5x its 4Q25 SiPho capacity run rate by 4Q26, followed by its Japan expansion, should allow it to capture a disproportionate share of optical unit growth and we see upside to its 2028 targets of $3.6 billion in revenue and $1.2 billion in net income, based on higher utilization rates, increased pricing and accelerated capacity expansion.

Exhibit 7: LTAs lock in ~$1.3bn of 2027 SiPho wafer revenue

Tower Semi SiPho customer prepayments vs contracted revenue, $mm



Source: BofA Global Research, Tower Semiconductor

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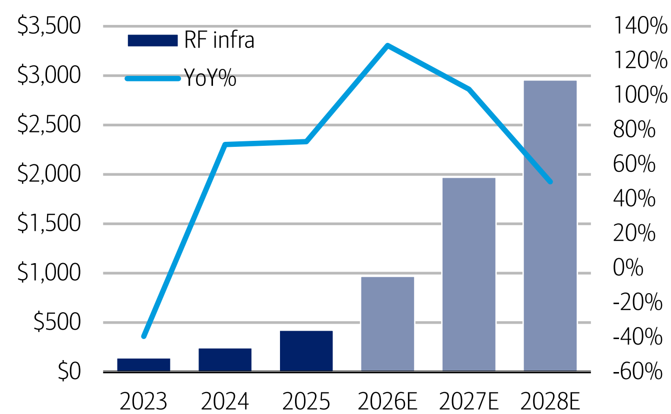
Exhibit 8: We project SiPho driving RF Infrastructure revenue to grow at 91% CAGR from 2025-28E

Tower Semiconductor RF Infrastructure revenue, 2023-28E, $mm



Source: BofA Global Research, Tower Semiconductor

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Tower's core SiPho advantages over competitors

Tower's core advantage is the combination of specialised process technology, manufacturing experience and close customer co-development. Unlike larger foundries whose differentiation is primarily based on manufacturing scale and geographic reach, Tower is concentrated in higher-value analog, RF, SiPho and SiGe processes. This focus has allowed it to deliver lower insertion loss for customers and build deeper expertise in the components surrounding the optical engine, not just the passive manufacturing of the PIC itself. Tower's SiGe BiCMOS capabilities enable it to address adjacent electronic IC content such as TIAs and drivers. This creates opportunities to support both the photonic and analogue elements of an optical module, deepens its engagement with customers and gives Tower greater strategic relevance as optical architectures become more integrated.

Tower also appears better positioned for the industry's transition towards higher-performance products and heterogeneous integration. Its PH18 platform demonstrates capabilities in areas such as 400G-per-lane modulators and the integration of photonic and electronic functions. These capabilities should be particularly valuable in NPO and, over time, CPO applications, where tighter power, bandwidth and packaging requirements raise the technical barriers to entry. Customers are likely to qualify additional foundries, including UMC and STMicroelectronics, as demand scales and supply-chain diversification becomes more important. However, we believe these additions are more likely to supplement Tower than displace it. Tower's process maturity, production track record and flexibility should preserve its position as the preferred manufacturing partner for the highest-value and most technically demanding products, provided it delivers its capacity expansion on schedule and continues investing ahead of intensifying competition.

Exhibit 9: We believe Tower is the best-positioned foundry for high-value SiPho PICs
Comparison of leading silicon photonics foundry companies

Foundry	Tower Semiconductor Where **Analog** and **Value** Meet	GlobalFoundries™	UMC	STMicroelectronics
Platform / Key Process	• PH18 SiPho platform (200mm & 300mm) • O-band & C-band • SiGe BiCMOS on the same platform	• GF Fotonix™ platform (200mm & 300mm) • SCALE™ CPO platform (for NPO/CPO) • Supports CWDM & DWDM	• CMOS-compatible SiPho platform (200mm & 300mm) • O-band	• SiPho BiCMOS platform with photonic option (300mm) • O-band
Core Strengths	**Production leader in pluggable PICs** Primary supplier for 1.6T SiPho PICs – fastest-growing segment **Full chip + analog content** SiGe BiCMOS for TIAs, drivers and other high-speed EIC alongside PICs **Proven production track record** >5 million coherent PICs shipped cumulatively with Marvell (June 2026) **Aggressive capacity expansion** SiPho capacity targeted to grow >5x Q4'25 run rate	**Broad scale & footprint** Large manufacturing scale with 200mm/300mm fabs in US, Singapore & Europe **Integrated photonics + EIC** Supports photonics with RF/CMOS integration under one roof; advanced-node EIC in development **Strong ecosystem & design support** Extensive PDKs, reference flows, packaging & test capabilities **Backed by US CHIPS Act funding** $300M award to accelerate SiPho R&D and advanced packaging	**Cost-competitive foundry** Strong 8" and 12" CMOS manufacturing scale and cost position **Platform flexibility** Supports custom & standard SiPho flows undh ecosystem EDA/PDK partners **Geographic diversification** Significant capacity base in Asia	**Wide product portfolio** Combines SiPho with CMOS, BiCD, SiGe, FD-SOI capabilities **Systems & automotive strength** Deep customer relationships in industrial & automotive markets **European manufacturing footprint** Diversified 300mm capacity across Europe
Status in SiPho Market	**Clear leader in pluggable PICs** Most advanced in production scale and shipment record for high-value PICs (incl. coherent)	**Scale leader with strong momentum** Rapidly expanding SiPho portfolio and capacity; key long-term competitor and volume supplier	**Emerging participant** Building capabilities: likely to gain share as demand scales and customers diversify supply	**Early-stage participant** Investing to build SiPho capabilities and win initial designs
Typical Applications	• Pluggable optical modules (800G/1.6T) • Coherent datacom / long-haul • NPO and future CPO • AI / HPC interconnects	• Pluggable optics (DD & coherent) • NPO and CPO • AI/HPC interconnects • Telecom & networking	• Pluggable optics (DD) • NPO (selected designs) • Telecom & networking • Consumer / Industrial	• Industrial & automotive sensing (LiDAR, ADAS) • Telecom & datacom (early designs) • NPO / CPO (in development)
Key Takeaways	**Best-positioned for highest-value, most technically demanding SiPho products today.** Depth, flexibility and execution create a durable advantage.	**Scale leader with strong government backing and broad platform.** A key long-term competitor and volume supplier.	**Will benefit from industry capacity shortage and customer diversification needs.** More likely a complement than a near-term displacer.	**Building capabilities with focus on integrated solutions and European supply.** Longer path to meaningful SiPho scale.

Source: BofA Global Research

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Demand continues to exceed supply leading to potential upside to 2028 guide

Most importantly, demand is currently exceeding qualified supply. The move from 800G to 1.6T increases optical lane speeds and, depending on the architecture, the number or performance requirements of lasers and other optical components. This is creating shortages upstream at the same time that qualified SiPho foundry capacity is being reserved several years in advance. Tower's customer prepayments and multi-year take-or-pay-style commitments are direct evidence that the market is capacity-constrained.

Tower is responding with a capacity program that should reinforce its leadership. In addition to its 5x capacity plan in 2026E, its recently announced multi-year net $3bn, two-phase, 300mm SiPho/SiGe/advanced packaging expansion at its Japan fabs unlocks significant capacity, with the additional capacity from Track 1 leading Tower to raise its

2028 revenue guide from $2.84bn to $3.6bn. We believe that, given the supply constrained environment, there is further upside potential to the 2028 guide if average utilization rate is increased to above 85% (as currently assumed) given further demand and tool availability, if wafer pricing increases on higher process complexity, and/or on earlier contribution from the Track 2 expansion. Thus, we model $4bn in 2028E revenue.

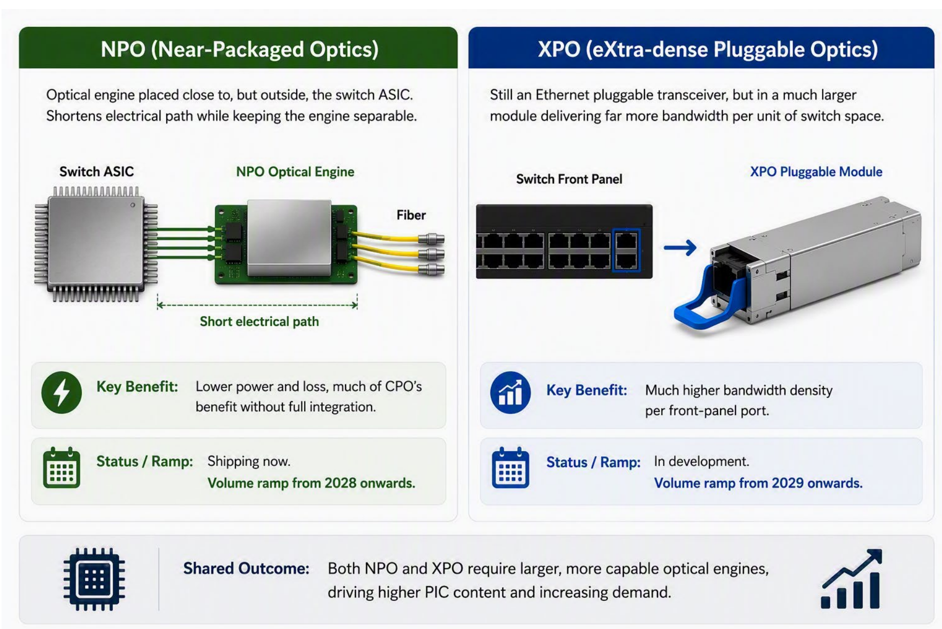
NPO/XPO to remove system bottlenecks to continued PIC demand growth

NPO and XPO expands Tower's addressable SiPho market by overcoming the power, density, cooling and signal-integrity constraints facing conventional pluggable optics as switches scale to significantly higher speeds. NPO places optical engines closer to the switch ASIC, while XPO aggregates substantially more bandwidth into a high-density, serviceable pluggable form factor. They also accelerate the migration of shorter-reach links from copper to optics. As a result, NPO and XPO increase the overall optics TAM for Tower. Tower also captures additional value beyond PICs if NPO incorporates Tower-fabricated EICs, heterogeneous integration and wafer bonding alongside the PIC.

What is NPO and XPO and when are they ramping?

NPO (near-packaged optics) places the optical engine close to, but not, as in the case of CPO, inside the switch or XPU package. Shortening the electrical path reduces insertion loss and SerDes power while keeping the optical engine physically separable from the expensive switch ASIC. NPO therefore captures much of CPO's power and bandwidth-density benefit without fully combining compute, electronics and photonics in one package. XPO (eXtra-dense pluggable optics), unlike NPO, is still an ethernet pluggable transceiver, but it uses a much larger module with significantly more bandwidth per unit of switch space. Both NPO and XPO require larger and more capable optical engines, thus increasing PIC demand. Tower has several NPO deployments prepared for next year, expecting it to account for "tens of %" of their SiPho shipments in 2H27, with a further volume ramp likely from 2028 onwards, while XPO volume ramp is expected from 2029.

Exhibit 10: NPO and XPO increase the PIC wafer area per switch/XPU thus benefiting Tower
Comparison of NPO and XPO



Source: BofA Global Research

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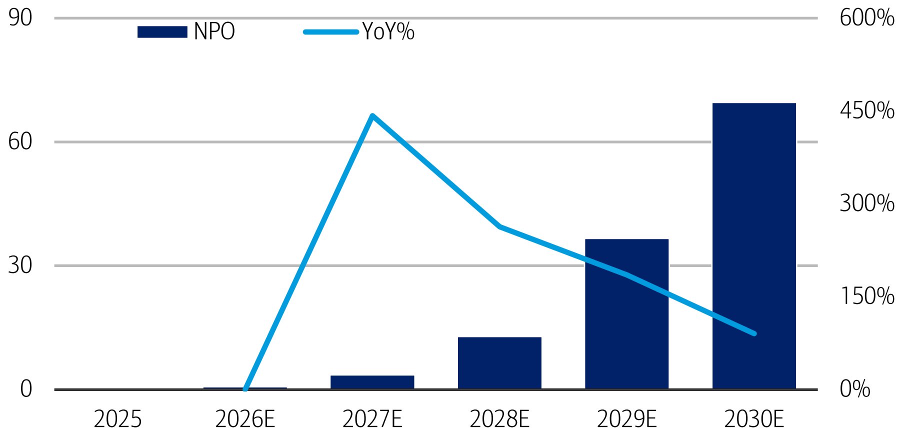
Exhibit 11: NPO shipments are set to ramp sharply from 2027E onwards which should further boosts Tower's revenues given higher optical content
Near-packaged optics (NPO) units, 2025-2030E, mm



Source: BofA Global Research estimates, LightCounting, Dell'Oro, 650 Group

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NPO/XPO accelerates Tower's PIC revenue

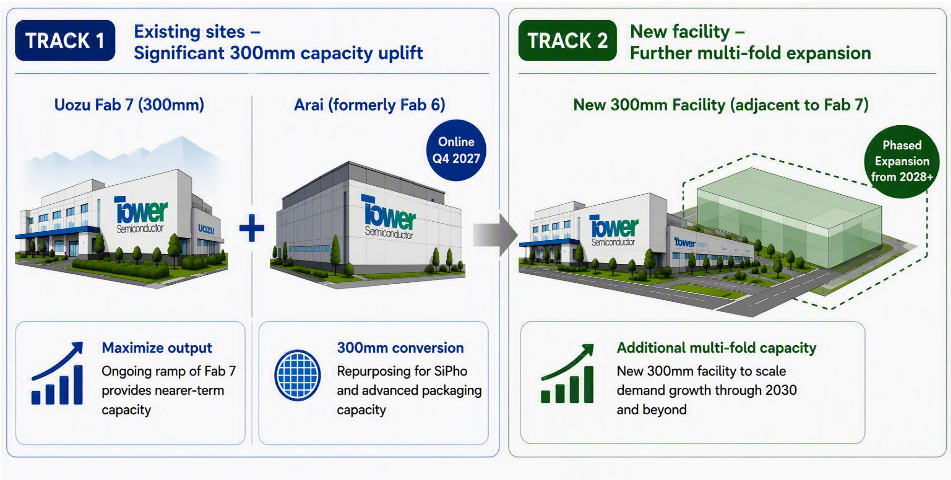
NPO and XPO adoption enables significantly more total optical bandwidth and higher SiPho penetration, ultimately meaning higher PIC wafer area growth for Tower. Firstly, NPO and XPO remove system bottlenecks that could otherwise constrain the amount of optical bandwidth deployed. Next, they could accelerate the conversion from copper to optics by making optics competitive at shorter reaches where copper would otherwise remain viable, thus expanding the number of links addressed by optics. Third, NPO could increase Tower's content beyond PICs if it also supplies the EICs, wafer bonding between PICs and EICs, and additional wafer-level processing required, thus increasing the value for Tower per optical engine. And lastly, NPO and XPO provide alternative scaling routes if full CPO adoption is delayed by manufacturing, cooling, serviceability and yield challenges, meaning advanced SiPho demand does not necessarily have to wait for full CPO adoption.

Given that NPO is a placement architecture, not a fixed lane configuration, a 3.2T NPO engine could comprise 8, 16, or 32 lanes potentially. Tower's content upside is more constrained in the 8-lane format, thus they stated no additional revenue per transceiver for NPO, but it could potentially be multiple times higher in the large lane count formats which replace multiple pluggable transceivers. Meanwhile, XPOs may have many more optical channels and thus significantly greater aggregate PIC wafer area than pluggables. Arista describes XPO as delivering 12.8T per module, thus such a module could carry 8x the Tower PIC content of one standard 8-lane pluggable.

Tower's 300mm capacity expansion in Japan addresses NPO/XPO demand

Tower's move to 300mm production in Japan is critical to capturing this opportunity. Higher-bandwidth optical engines can consume materially more PIC area, and NPO/XPO adoption could drive simultaneous growth in wafer volumes and die sizes. The existing Uozu Fab 7 ramp will provide nearer-term capacity, while the Arai conversion adds meaningful 300mm SiPho and advanced packaging capacity (~$760mm worth) from late 2027. The proposed second facility adjacent to Fab 7 would then quadruple its 300mm capacity in Japan. A 300mm platform offers better economics and substantially more die per wafer than a 200mm process, while colocating SiPho, SiGe and advanced optical packaging can shorten manufacturing flows and support increasingly integrated optical engines. The timing is well aligned with the expected move from 1.6T pluggables toward NPO, XPO and early CPO systems between 2027 and 2029.

Exhibit 12: Tower is ramping its 300mm wafer capacity via its Japan fabs from 2026 onwards
Tower Semiconductor's Japan fab expansion plan



Source: BofA Global Research

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In conclusion, we view NPO and XPO as incremental to—not substitutes for—Tower's existing pluggable opportunity. Conventional pluggables should continue growing as 800G and 1.6T penetrate mainstream data-centre networks, while NPO and XPO open new sockets at the high end where front-panel density and power become binding constraints. Tower benefits from the common denominator across all these architectures: more optical bandwidth, more sophisticated optical engines and more SiPho content.

CPO overhang overstated; Tower could win share in multiple ways

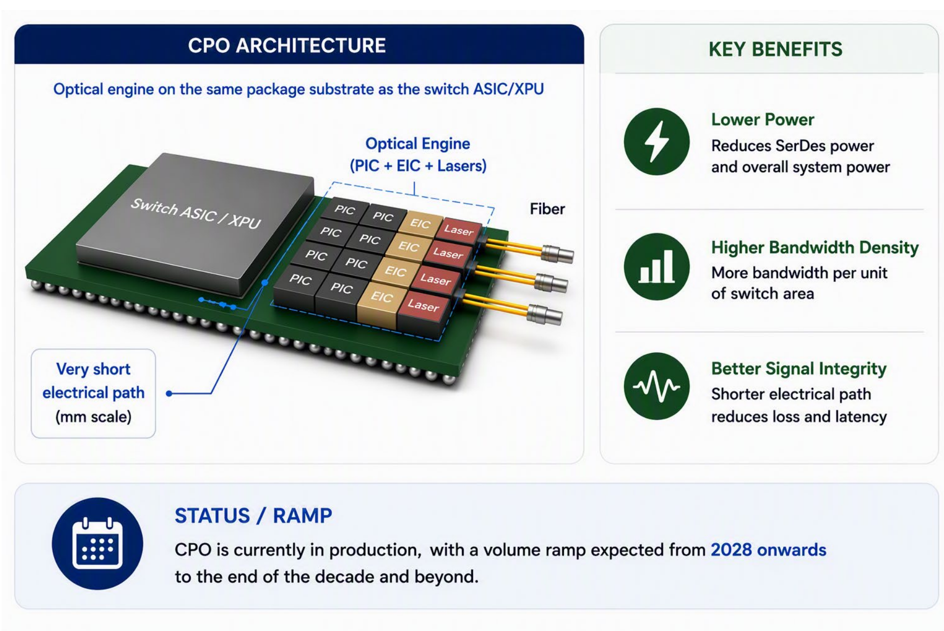
We believe the market overstates the risk that CPO shifts SiPho demand away from Tower and predominantly to TSMC. Firstly, given the rise of NPO, the extent of CPO adoption may be less than previously thought. Further, we believe Tower's superior PIC platform will enable it to be the leading CPO supplier for networking and ASIC customers who prefer an open ecosystem supplier. Second-sourcing requirements and TSMC's constraints should also benefit Tower's CPO platform.

What is CPO and when is it ramping?

CPO (co-packaged optics) moves the photonic engine onto the same package substrate as a switch ASIC or XPU, dramatically shortening the electrical path and improving power efficiency, bandwidth density and signal integrity. Broadcom is already shipping production CPO systems, Marvell has introduced a CPO architecture for custom AI accelerators, and TSMC plans to scale its COUPE platform through the end of the decade. CPO is not a single standardized product or a winner-takes-all foundry market. It encompasses multiple optical-engine designs, laser architectures, PIC/EIC combinations and packaging flows. Tower can supply the PIC, the EIC, the bonded PIC/EIC optical engine or potentially a more complete CPO manufacturing flow, depending on the customer.

CPO is currently in production, with a volume ramp expected from 2028 onwards to the end of the decade and beyond. Interestingly, due to the strong performance of NPO, which captures much of CPO's power/bandwidth benefit while easier to manufacture and service, the expected adoption of CPO adoption is now somewhat less than before, and we expect the NPO/CPO mix to be 42%/58% even in 2030.

Exhibit 13: Co-packaged optics (CPO) moves the photonic engine next to the switch ASIC/XPU
CPO illustration and background



Source: BofA Global Research

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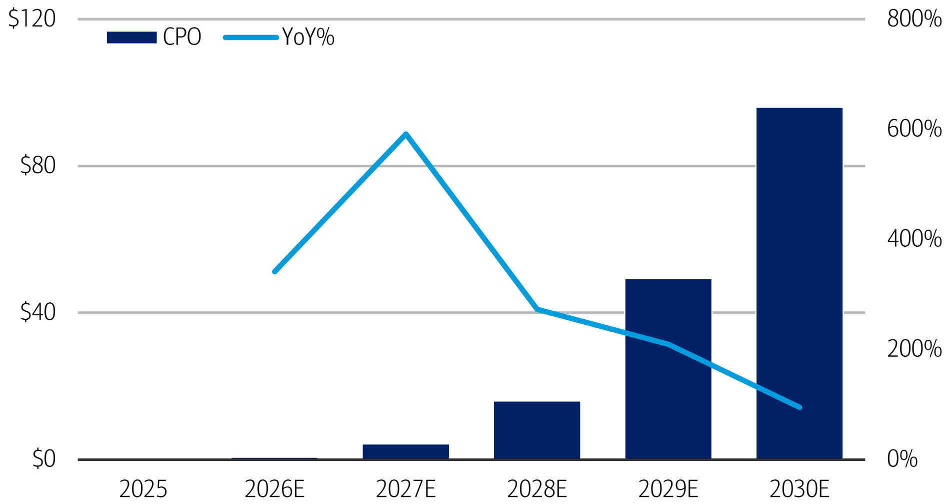
Exhibit 14: CPO shipments are set to ramp sharply from 2028E onwards
Co-packaged optics (CPO) units, 2025-2030E, mn



Source: BofA Global Research estimates, LightCounting, Dell'Oro, 650 Group

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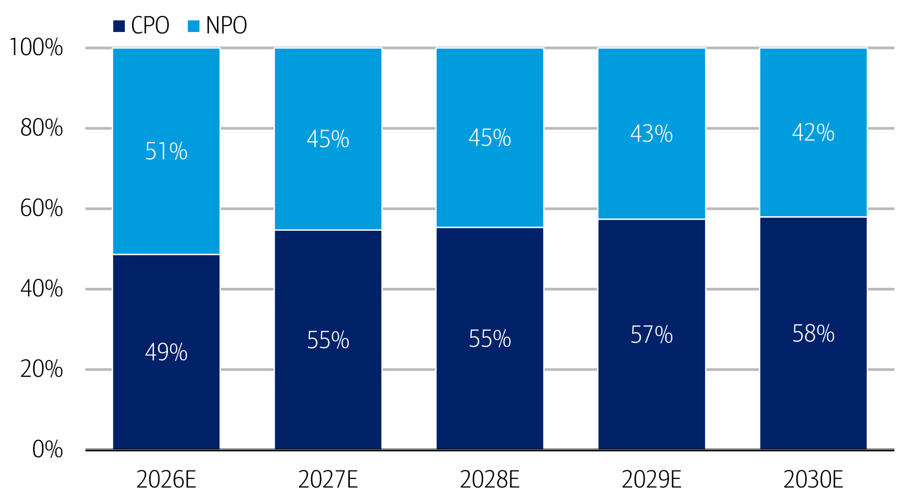
Exhibit 15: We project a relatively balanced NPO/CPO mix through 2030, as opposed to CPO dominating share as previously expected
CPO vs NPO share of combined units (%), 2026-30E



Source: BofA Global Research estimates, LightCounting, Dell'Oro, 650 Group

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The looming threat of TSMC COUPE

TSMC's COUPE (Compact Universal Photonic Engine) is its SiPho integration platform, with the core concept being an electrical IC stacked directly on top of a SiPho PIC using using TSMC's SoIC-X technology, which can subsequently be incorporated into CoWoS alongside a switch ASIC or accelerator. TSMC's advantage is not necessarily that its standalone photonic process is superior to Tower's, it is that TSMC controls the leading-edge compute wafer, 3D bonding, interposer and advanced-packaging ecosystem. For Nvidia, Advanced Micro Devices (AMD) or another customer already building a large CoWoS package at TSMC, sourcing the PIC and optical engine from TSMC can simplify integration, accountability and supply-chain management. TSMC is also expanding PIC capacity aggressively, with industry reports pointing to production for customers including Nvidia, Broadcom and AMD and a substantial ramp through 2028. It will capture meaningful CPO share, particularly where the customer wants a complete leading-edge compute-plus-packaging stack.

But the opportunity remains large for an open ecosystem CPO supplier like Tower

That does not mean all customers will choose COUPE. Many networking and optical companies do not need TSMC to manufacture the entire system, and some will be reluctant to embed proprietary photonic IP into a vertically integrated ecosystem controlled by the foundry manufacturing their customer's or competitor's switch ASIC. Optical-module vendors, merchant DSP suppliers, switch companies, specialist CPO developers and hyperscalers with in-house silicon may prefer to retain control over the PIC and optical-engine architecture, qualify multiple packaging partners or preserve leverage through a second foundry. Tower's open platform is designed for exactly this model. Customers can access PH18, retain ownership of their differentiated photonic design, choose among multiple lasers and modulator technologies and integrate the resulting PIC into their preferred package.

Tower is also closing the integration gap. In November 2025, it extended its mature 300mm wafer-bonding technology to heterogeneous integration of SiPho PICs and SiGe EICs. The process supports wafer-to-wafer and die-to-wafer integration and is accompanied by a Cadence reference flow that allows customers to lay out, simulate and verify multiple technologies within one design environment. Tower is adapting a bonding process already used in high-volume stacked image sensors rather than developing a packaging capability from scratch. Combined with its SiPho, SiGe, in-line optical testing and planned advanced optical-packaging capacity in Japan, this gives Tower a credible path from supplying a standalone PIC to providing an integrated optical engine suitable for CPO.

Networking and ASIC companies may favor Tower for CPO

Several customer groups could drive this opportunity. Marvell is the most tangible: Tower and Marvell have already shipped more than five million coherent PICs and are collaborating on non-silicon materials, 3D electronic integration and advanced optical packaging. Marvell's CPO architecture for custom XPUs uses 3D SiPho engines and targets hyperscaler-designed accelerators, making an extension of the existing Tower relationship commercially plausible—although no CPO production award has been disclosed. Broadcom is more likely to remain vertically integrated for its core switch CPO platform, but external foundry participation cannot be ruled out across secondary products or capacity requirements. Specialist optical-I/O companies and hyperscalers designing proprietary XPUs represent another addressable pool because they may value an open foundry and the ability to separate their PIC from the compute foundry. These are potential customer pathways, not confirmed Tower design wins.

Customer second-sourcing preferences and TSMC's constraints may also benefit Tower

Second sourcing should become more important as CPO volumes rise. A CPO package combines an extremely expensive switch or compute die with multiple optical engines; a shortage or yield problem in one optical component can constrain shipment of the entire system. Customers are therefore unlikely to be comfortable with all leading-edge compute, PIC, bonding and packaging capacity concentrated in a single manufacturing flow indefinitely. TSMC itself has highlighted wafer-level optical testing, fibre-array integration and high-speed optical assembly as key barriers to CPO scale-up, while reported capacity plans imply a rapid ramp that still must pass through downstream packaging and system qualification. Tower offers a qualified, independent source with existing optical volumes and a multi-fab roadmap—valuable both as a primary supplier for open CPO architectures and as a second source where customers want to reduce dependence on TSMC.

Thus, we believe that CPO does not eliminate Tower's opportunity, but rather it changes the mix of where Tower participates. TSMC should win the most tightly integrated CPO programmes built around its leading-edge compute and CoWoS ecosystem. Tower can win customers that prioritize superior or differentiated photonics, an open PDK, ownership of their optical IP, flexibility in packaging and independent capacity. It can also move up the value chain through SiPho–SiGe wafer bonding and advanced optical packaging. With pluggables, NPO, XPO and CPO likely to coexist for years, Tower does not need to displace TSMC in every architecture to sustain strong SiPho growth. It needs to preserve leadership in merchant optical engines while capturing a meaningful share of the open and second-source CPO market. Its technology roadmap, customer base and Japan capacity expansion make that outcome increasingly credible.

BofA AI Connectivity forecast by type and implications for Tower

Below, we present the AI Connectivity/Other Networking unit portion of our latest AI Networking bottom-up model. Tower's revenue tracks industry units more than revenue, as the latter embeds ASP which gradually declines over time. Tower's PIC revenue growth is primarily driven by Optical, while Tower also has exposure to Electrical/Copper via its SiGe/RF electronic chips.

Exhibit 16: Total AI connectivity unit demand is set to 8x from 2025 to 2030E, as data center bit growth accelerates

BofA AI Connectivity/Other Networking bottom-up unit model

Units (mn)		2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	CY25-30E CAGR
Optical		**9.9**	**15.6**	**34.5**	**58.8**	**123.0**	**192.1**	**280.9**	**397.3**	**552.5**	**57%**
AOC		**7.1**	**7.9**	**7.6**	**9.8**	**14.9**	**18.6**	**21.2**	**21.8**	**24.0**	**19.6%**
Ethernet Transceiver		**2.8**	**7.6**	**26.9**	**49.0**	**102.9**	**153.9**	**209.1**	**261.6**	**329.5**	**46.4%**
	100G	-	-	-	-	-	-	-	-	-	-
	200G	*0.1*	*0.1*	*0.4*	*0.6*	*0.5*	*0.4*	*0.2*	*0.1*	-	-
	400G	*2.7*	*5.6*	*18.1*	*25.3*	*23.7*	*17.6*	*10.5*	*4.5*	*0.7*	*-51.8%*
	800G	*0.1*	*1.9*	*8.4*	*22.0*	*61.4*	*90.9*	*106.0*	*88.6*	*62.3*	*23.1%*
	1.6T	-	-	*0.0*	*1.1*	*17.3*	*44.4*	*86.6*	*119.6*	*154.6*	*166.8%*
	3.2T	-	-	-	-	*0.0*	*0.6*	*5.7*	*48.8*	*111.9*	-
CPO		**-**	**0.0**	**0.0**	**0.1**	**0.6**	**4.3**	**15.9**	**49.3**	**96.0**	**269.1%**
NPO		**-**	**-**	**-**	**-**	**0.7**	**3.5**	**12.8**	**36.6**	**69.6**	**270.2%**
LPO/LRO		**-**	**-**	**0.0**	**0.1**	**3.9**	**11.8**	**21.9**	**28.0**	**33.4**	**231.0%**
Electrical/Copper		**12.2**	**10.2**	**15.0**	**21.7**	**39.9**	**58.7**	**78.4**	**90.2**	**106.0**	**37.3%**
DAC		**11.7**	**9.8**	**13.9**	**16.6**	**26.2**	**34.8**	**41.2**	**45.1**	**48.8**	**24.0%**
ACC		**-**	**0.0**	**0.1**	**0.1**	**1.3**	**4.6**	**8.0**	**10.8**	**19.1**	**166.4%**
AEC		**0.4**	**0.4**	**1.0**	**5.0**	**12.3**	**19.2**	**29.2**	**34.2**	**38.1**	**50.4%**

Source: BofA Global Research estimates, LightCounting, Dell'Oro, 650 Group

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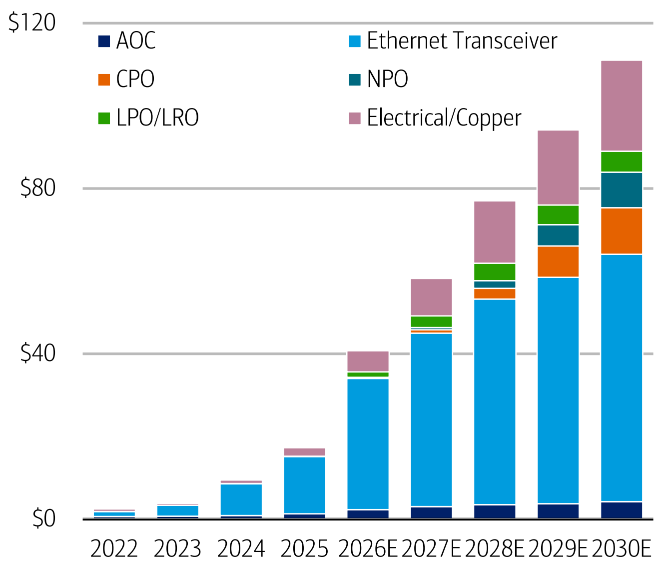
Exhibit 17: Ethernet Transceivers remain the anchor of AI connectivity revenue by 2030

AI Networking revenue by connectivity type, 2022-30E, $mn



Source: BofA Global Research estimates, LightCounting, Dell'Oro, 650 Group

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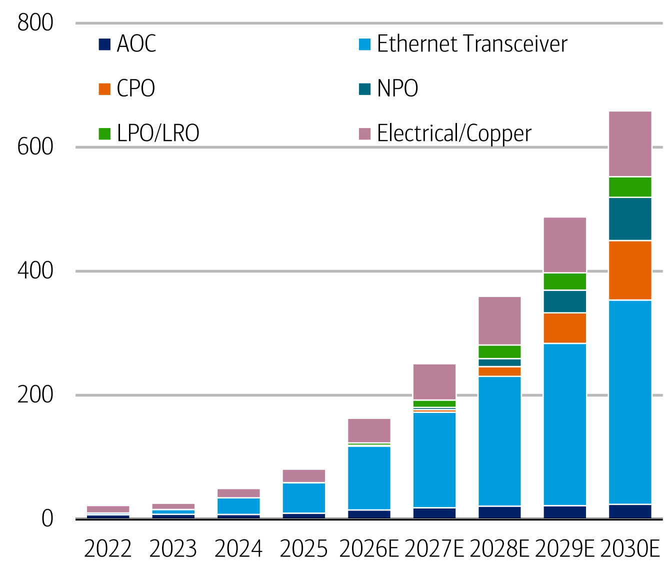
Exhibit 18: AI connectivity unit shipments are set to grow significantly through 2030E

AI Networking units by connectivity type, 2022-30E, mn



Source: BofA Global Research estimates, LightCounting, Dell'Oro, 650 Group

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Implications for Tower's revenue by connectivity type

Optical

- **AOC:** Tower's content is likely lower on average in AOC than in high-end Ethernet transceivers. Some AOCs use VCSELs rather than SiPho. Tower only has content where the architecture explicitly uses SiPho

- **Ethernet transceivers:** Tower's PIC revenue per module should rise from 400G → 800G → 1.6T, but less than proportionately with bandwidth

    - 800G often uses 8×100G lanes.

    - 1.6T uses 8×200G lanes, so bandwidth doubles without necessarily doubling PIC area. Tower confirms this 8×200G configuration

    - Therefore, assume moderate PIC ASP/content uplift, partly offset over time by die shrinks, yield improvements and customer pricing

- **CPO:** Potentially the highest Tower dollar content per switch package, as each switch may incorporate multiple PIC-based optical engines. On a per-optical engine basis, Tower's baseline PIC revenue could be broadly comparable with a 1.6T or 3.2T pluggable transceiver of similar bandwidth, although this depends on PIC area, lane count and process complexity. Tower could capture additional content if it also manufactures the SiGe EIC and provides wafer-level bonding or 3D integration alongside the SiPho PIC

- **NPO:** While Tower has stated no additional revenue for NPO per pluggable replaced, we believe there is potentially higher Tower revenue per NPO unit because NPO aggregates more bandwidth into a larger optical engine and can replace multiple pluggables. Specific content uplift will depend on lane count. See details in NPO section of report

- **LPO/LRO:** Broadly similar PIC content to conventional pluggables at the same speed. Removing the DSP mainly affects the module's electronic BOM, not Tower's PIC. Tower revenue per unit should therefore be broadly similar, potentially slightly higher if LPO requires better-performing modulators

Electrical/Copper

- **DAC/ACC/AEC:** Generally little or no PIC content. However, ACC/AEC can contain Tower-manufactured SiGe/RF electronic chips, so Tower RF-infrastructure revenue per cable could be meaningful but well below SiPho content in an optical module. DAC is largely passive and should have minimal Tower content

We are 7%/13%/28% above css on '26/27/28E EPS

BofAe is 4%/10%/17% above consensus on 2026/27/28E revenue, driven by our higher estimates for RF Infrastructure. We are 16%/6%/3% below consensus on 2026/27/28E operating expenses, driven by operational efficiency. As a result, we are 3%/17%/22% above consensus on 2026/27/28E EBITDA and 7%/13%/28% above consensus on 2026/27/28E EPS.

Exhibit 19: We are 7%/13%/28% above BBG consensus on FY26/27/28E EPS
Summary of BofAe vs Bloomberg estimates, 2026-28E

	2026E			2027E			2028E		
	BofA	BBG css	BofA vs BBG css	BofA	BBG css	BofA vs BBG css	BofA	BBG css	BofA vs BBG css
Revenue	2,035	1,953	4.2%	3,019	2,752	9.7%	4,015	3,435	16.9%
Gross margin %	31%	31%	-26 bps	38%	38%	-76 bps	46%	43%	348 bps
Opex	197	200	-1.7%	221	235	-5.9%	249	258	-3.4%
EBIT	436	413	5.7%	914	820	11.4%	1,598	1,203	32.8%
EBIT margin %	21%	21%	1.5%	30%	30%	1.5%	40%	35%	13.7%
EBITDA	773	750	3.1%	1,314	1,126	16.6%	2,098	1,723	21.7%
EBITDA margin %	38%	38%	-41 bps	44%	41%	258 bps	52%	50%	210 bps
EPS	4.0	3.7	6.8%	7.4	6.6	12.9%	12.5	9.7	28.3%

Source: BofA Global Research estimates, Bloomberg

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Tower trades on 12x 2028 EBITDA with 62% EBITDA CAGR

Tower currently trades at ~12x FY28E EV/EBITDA on BofA estimates. For our PO of $367, we apply a 20x multiple on FY28E EBITDA, which is near the median of its post-mid-2025 8-40x trading range and which we believe is justified given its 62% projected EBITDA CAGR for 2025-28E and comparables' multiples.

Tower has significantly rerated since mid-2025 on accelerated SiPho-driven growth prospects. Its current 1yr forward EV/EBITDA multiple of ~25x is significantly higher than its pre-mid-2025 trading range of 3-10x but is only slightly above the 24x median of its post-mid-2025 trading range of 8-40x.

Tower trades at the upper end of comp multiples compared to global specialty foundry peers. GFS, PSMC and UMC trade on 6-8x CY28E EV/EBITDA, though they have significantly lower projected earnings CAGR, with the exception of PSMC which is benefiting from higher memory pricing.

Tower trades at the median of our EMEA optical coverage, which trade in the range of 6-15x on our FY28E EBITDA estimates. However, Tower has the highest projected '25-28E EBITDA CAGR, making its valuation relatively attractive.

Exhibit 20: Tower has rerated significantly since mid-2025 on SiPho acceleration
Tower Semiconductor 10yr forward 1yr EV/EBITDA multiple

Source: Bloomberg

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Exhibit 21: On BofAe, global specialty foundry peers trade at a median '28E EV/EBITDA of 7.7x
Specialty foundry peer comp valuation table

Spec foundries	2026E	2027E	2028E	2026E	2027E	2028E
		EV/EBITDA			P/E	
GlobalFoundries	10.5	9.2	7.7	26.6	19.4	14.1
PSMC	7.4	6.2	6.3	9.8	8.9	8.3
Tower Semiconductor	31.9	18.8	11.7	53.3	28.4	16.9
UMC	11.4	9.2	7.7	16.5	20.1	14.9
Median	11.0	9.2	7.7	21.5	19.7	14.5

Source: BofA Global Research estimates

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Exhibit 22: On BofAe, our EMEA optical coverage trades at a median '28E EV/EBITDA of 11.7x
EMEA Optical valuation table

EMEA Optical	2026E	2027E	2028E	2026E	2027E	2028E
		EV/EBITDA			P/E	
Aixtron	30.3	17.1	11.7	50.2	27.5	18.4
Nokia	14.1	10.3	8.6	22.8	18.8	15.7
Soitec	28.4	24.9	15.0	-19.3	1556.9	45.0
STMicro	13.8	9.0	6.9	36.1	17.0	11.8
Tower Semiconductor	31.9	18.8	11.7	53.3	28.4	16.9
Median	28.4	17.1	11.7	36.1	27.5	16.9

Source: BofA Global Research estimates

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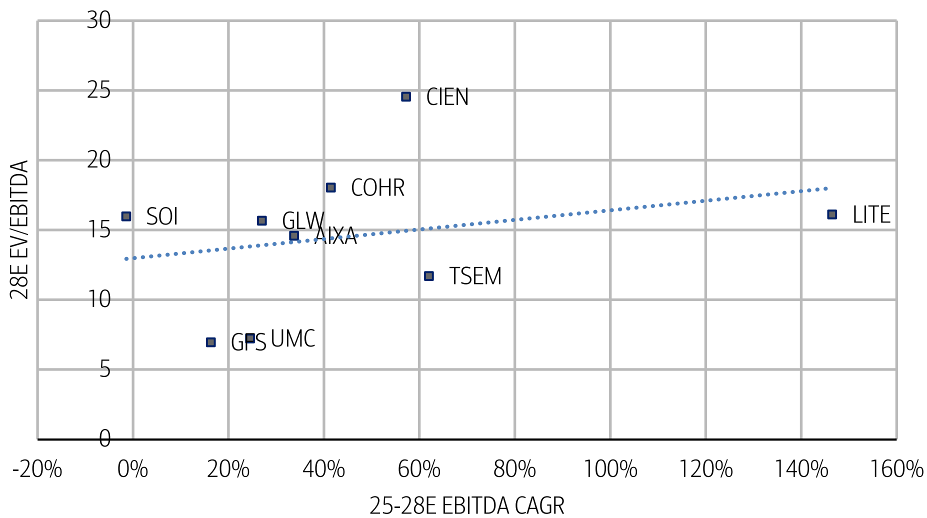
Exhibit 23: Tower screens relatively attractive on a multiple/CAGR comparison vs peers
EV/EBITDA valuation vs 2025-28E EBITDA CAGR for Tower (BofAe) and optical/foundry peers (BBG est)



Source: Bloomberg

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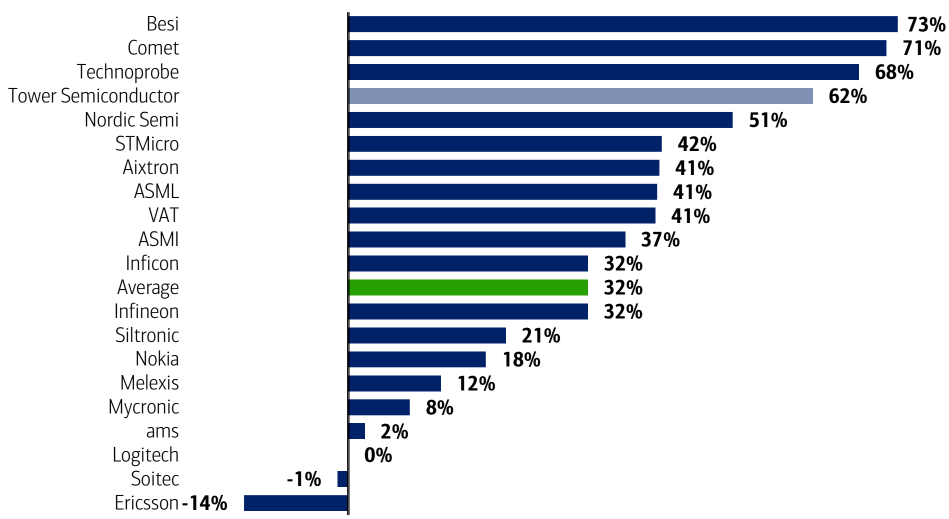
Exhibit 24: Tower's projected EBITDA CAGR is among the highest in our EMEA coverage
25-28E EBITDA CAGR for TSEM and our coverage



Source: BofA Global Research estimates

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Risks to our Buy thesis

AI data center buildout

Tower's SiPho growth depends on sustained AI data-centre investment and the associated increase in optical connectivity. A slowdown caused by weaker AI returns, diminishing scaling benefits or delayed enterprise adoption would reduce optical-unit demand and risk underutilising its expanded capacity. Customer contracts covering $1.3bn of 2027 SiPho revenue provide strong near-term protection, but longer-term demand remains tied to the broader AI investment cycle.

Increasing competition in SiPho

Competition is intensifying as GlobalFoundries expands rapidly, UMC and STMicroelectronics ramp SiPho, and TSMC targets tightly integrated CPO solutions. Greater qualified supply could pressure Tower's market share and pricing. However, Tower's production scale, leadership in 1.6T PICs, long-term customer commitments and multi-generation development partnerships provide a strong competitive moat, particularly through 2028.

Selling price per wafer

Tower assumes blended wafer pricing remains stable, with higher-value new technologies offsetting erosion in legacy products. If industry capacity expands faster than demand, customers could gain negotiating leverage and pressure wafer prices. This would have a disproportionate earnings impact given the rich product mix and high incremental margins assumed in Tower's 2028 model.

Cost of manufacturing

Tower's margin targets depend on controlling material, labour, energy and depreciation costs while successfully ramping new 300mm processes. Yield issues, lower equipment productivity or higher costs for advanced bonding and heterogeneous integration could dilute the expected benefits of scale and pressure the targeted 45% gross margin in 2028.

Time of installation and qualification

Delays in tool installation, process transfer or customer qualification could defer revenue while Tower incurs depreciation and other fixed costs. This is particularly relevant to Japan Track 1, which must reach production readiness in Q4 2027 to support the 2028 model. Even with demand secured, execution delays could shift revenue and weaken near-term margins.

Utilization rates at fabs

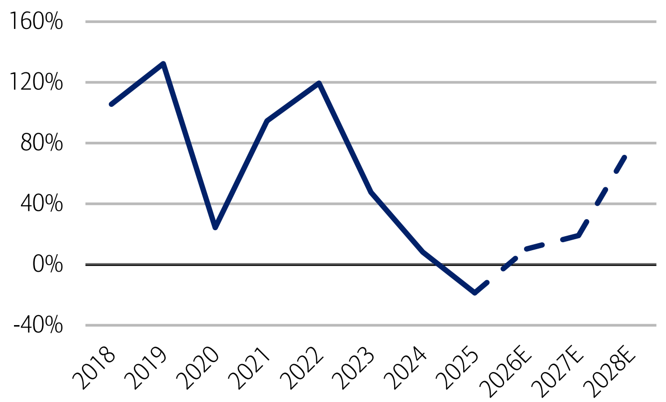
Tower's 2028 targets assume 85% utilisation across its foundry capacity. While SiPho capacity is heavily committed, weaker demand in RF mobile, power, imaging or mixed signal could leave other fabs below target. Given Tower's high fixed-cost base and rising depreciation, even moderate utilisation shortfalls could materially affect revenue and margins.

Balance sheet and cash flow

Tower has maintained a healthy balance sheet and a net cash position through the cycle, supported by resilient cash generation in most years. But its cash conversion has been volatile in recent years, reflecting cyclical utilization, elevated investment activity and working-capital movements. Cash conversion declined sharply between 2023 and 2025 as profitability moderated and Tower continued investing in manufacturing capabilities, before recovering in our forecasts from 2026 onward as utilization improves and margins expand.

Free cash flow has also been under pressure recently, turning negative in 2025 due to weaker industry conditions and ongoing investment requirements. However, we expect a meaningful recovery from 2026, with free cash flow rising materially through 2028 as revenue growth continues, utilization improves and investment spending becomes more efficient. This should strengthen Tower's balance-sheet flexibility and provide optionality for future capacity expansion, technology investments and potential strategic opportunities.

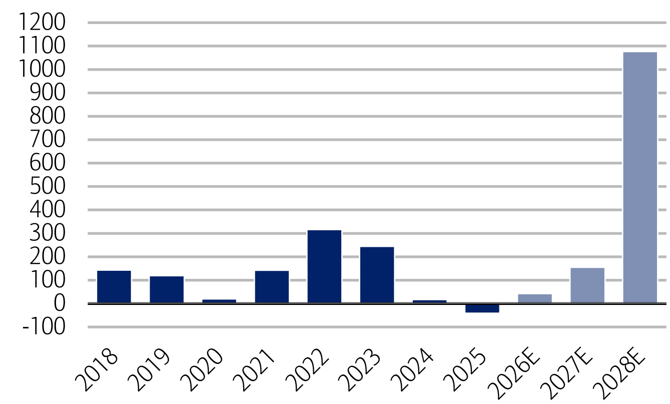
Exhibit 25: Tower's cash conversion for 2028E is at 77%
Tower Semiconductor cash conversion ratio, 2018-28E



Source: BofA Global Research estimates, Company reports

BofA GLOBAL RESEARCH

Exhibit 26: We expect Free cash flow to turn positive in the coming years
Tower Semiconductor Free cash flow, 2018-28E, $ mm



Source: BofA Global Research estimates, Company reports

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Shareholder returns

Tower's capital allocation strategy has historically focused on retaining capital to fund organic capacity expansion, technology development and strategic growth initiatives, rather than maintaining a fixed payout ratio. The company does not currently pay a regular dividend and has instead prioritized reinvestment in specialty foundry technologies, capacity upgrades and long-term customer programs. With a strong balance sheet and healthy cash generation, we expect Tower to continue favoring internal investments and selective strategic opportunities over cash returns, as management remains focused on expanding its specialty analog, RF, power and silicon photonics franchises.

Company description

Segments

RF Infrastructure

Tower's flagship growth engine, comprising SiPho and SiGe technologies used in optical transceivers and high-speed connectivity for AI data centers. It has become the company's largest segment and its primary earnings driver. Currently experiencing structural hyper-growth, underpinned by insatiable AI data-center demand for optical connectivity (400G/800G/1.6T and beyond) and reinforced by multi-year, pre-paid customer commitments and major capacity expansions in Japan. Revenue mainly comes from SiPho PICs, followed by SiGe EICs, while Tower also has 3D stacking capabilities:

PIC (Photonic integrated circuit)

The PIC is Tower's SiPho wafer — the chip that manipulates light (modulation, routing, detection) at the heart of an optical transceiver, and it's the primary driver of RF Infrastructure revenue. As the leading open-foundry SiPho platform, Tower supplies PICs for high-volume 400G/800G/1.6T pluggables and next-gen NPO/CPO, making this the core engine of its AI optical-connectivity growth.

EIC (Electronic integrated circuit)

The EIC is Tower's SiGe BiCMOS chip — the analog electronic front-end (transimpedance amplifiers, laser drivers, limiting amps, CDRs) that pairs with the PIC to condition and amplify the signal. It's a genuine but secondary revenue leg; notably, Tower captures the analog SiGe content, not the digital PAM4 DSP, and the same platform also serves mmWave RF applications like automotive radar and 5G.

3D Stacking

Tower's wafer-level 3D-stacking (wafer bonding) capability, adapted from its mature BSI image-sensor process, lets it vertically integrate a PIC and an EIC into a single dense 3D-IC. Announced in late 2025 and supported by a Cadence design flow, it's positioned as a forward-looking enabler for CPO and NPO rather than a material revenue contributor today.

RF Mobile

A legacy franchise built on RF SOI technology, supplying antenna tuners, switches, and front-end components for smartphones and handsets. Currently in a transition-driven trough as Tower migrates production from 200mm to 300mm processes, weighing on near-term revenue but repositioning the platform for higher performance and stronger long-term economics.

Power

Encompasses power management ICs and BCD/power platforms serving industrial, consumer, computing, and automotive end-markets. Experiencing steady, resilient growth, supported by broad-based demand and Tower's expanding 300mm power roadmap. It is one of the more dependable legacy contributors alongside the AI-driven story.

Sensors & Displays

Centered on CMOS image sensors (CIS), along with non-imaging sensors and display-related technologies, serving consumer, industrial, medical, aerospace, and automotive applications. The Trend is broadly stable overall, with an emerging growth pocket in machine vision — notably semiconductor inspection and EV battery inspection.

Discrete

Standalone discrete devices, including power discretes and related components, offered across Tower's foundry platforms. It is a mature, stable contributor tied to industrial and automotive demand — a supporting franchise rather than a growth driver.

MS/CMOS/Misc.

The mixed-signal CMOS and miscellaneous foundry offerings that make up the more commoditized, lower-margin portion of Tower's portfolio. It is in deliberate decline, as management actively displaces lower-margin mixed-signal CMOS with higher-value advanced technologies — a mix-enrichment strategy that shrinks this segment while driving overall margin expansion and operating leverage.

Fab overview

Exhibit 27: Tower plans to significantly ramp up its 300mm SiPho/SiGe capacity at its Japan fabs
Tower Semiconductor fab overview

Fab	Country	Location	Platform	Process technology	Utilization
Fab 1	Israel	Migdal Haemek	150mm	CIS, analog, RF, mixed-signal, discretes, sensors	Not disclosed
Fab 2	Israel	Migdal Haemek	200mm	SiPho, SiGe, Sensors, Power	80-85%
Fab 3	USA	Newport Beach, CA	200mm	SiPho, SiGe (analog, mixed-signal, RF, HV, sensors)	80-85%
Fab 9	USA	San Antonio, TX	200mm	SiPho, SiGe, Power (power ICs & discretes, RF analog)	80-85%
Fab 5	Japan	Tonami, Toyama	200mm	Power, analog, power discretes, NVM, CCD (transferring to Nuvoton, close ~Apr 2027)	75%
Fab 6	Japan	Arai, Niigata	300mm	Being converted to SiPho + advanced optical packaging (Track 1; prod-ready Q4 2027)	Idle/converting
Fab 7	Japan	Uozu, Toyama	300mm	SiPho, SiGe, Power, Sensors, RF SOI (Tower taking full ownership; 4× expansion planned)	~100%
Agrate R3	Italy	Agrate Brianza	300mm	RF SOI (shared cleanroom with ST; smart power, analog, mixed-signal)	Ramping (shared w/ ST)
Intel corridor	USA	New Mexico	300mm	300mm capacity corridor (agreement)	N/A

Source: Tower Semiconductor, BofA Global Research estimates

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Company History and Key Facts

- Tower Semiconductor was founded in 1993 and has evolved from a pure-play foundry focused on mature processes into a leading specialty foundry serving analog, RF, power management, image sensing, silicon photonics and mixed-signal applications
- Tower's acquisition of Jazz Semiconductor in 2008 significantly expanded its RF and analog technology portfolio and strengthened its presence in North America. Tower has continued to grow through organic capacity expansion, technology development and strategic partnerships with global semiconductor companies
- Tower is headquartered in Migdal HaEmek, Israel. It operates manufacturing facilities in Israel, the United States and Japan, supported by global R&D, sales and customer support organizations
- Tower serves a diverse range of end markets including automotive, industrial, infrastructure, mobile, aerospace & defense and medical applications
- Tower employs approximately 5,500–6,000 people globally
- Tower is listed on the Nasdaq Global Select Market (NASDAQ: TSEM) and the Tel Aviv Stock Exchange (TASE: TSEM)

Management Overview

Russell Ellwanger, Chief Executive Officer

Mr. Ellwanger has served as CEO of Tower Semiconductor since May 2005 and has been a member of the Board of Directors since 2016. Prior to joining Tower, he held several senior executive roles at Applied Materials between 1996 and 2005, including Group Vice President and General Manager of multiple business units. Mr. Ellwanger brings more than four decades of semiconductor industry experience spanning manufacturing, equipment, operations and business leadership.

Dr. Marco Racanelli, President

Dr. Racanelli was appointed President in 2023 after serving as Senior Vice President and General Manager of the Analog Business Unit and Newport Beach Site Manager. He previously led Tower's RF & High-Performance Analog and Aerospace & Defense businesses and has held numerous technology and engineering leadership roles throughout the company. Dr. Racanelli holds a Ph.D. and M.S. in Electrical and Computer Engineering from Carnegie Mellon University and a B.Sc. in Electrical Engineering from Lehigh University. He is the holder of more than 35 U.S. patents.

Oren Shirazi, Chief Financial Officer & Senior Vice President of Finance

Mr. Shirazi has served as Chief Financial Officer since 2004. Before becoming CFO, he held the positions of Controller and Vice Controller after joining Tower in 1998. Prior to Tower, he worked as Audit Manager at Ratzkovski-Fried & Co., which later became part of Ernst & Young Israel. Mr. Shirazi is a Certified Public Accountant (CPA) in Israel and holds an MBA in Business Management as well as a B.A. in Economics and Accounting from the University of Haifa.

Rafi Mor, Chief Operating Officer

Mr. Mor has been Chief Operating Officer since 2014 and has worked at Tower Semiconductor since 1998 in a variety of operational and leadership roles. His previous responsibilities included CEO of TowerJazz Japan, Senior Vice President and Newport Beach Site Manager, Vice President of Business Development, and management positions across Tower's fabs. Prior to joining Tower, he worked at National Semiconductor in engineering and management roles. Mr. Mor holds M.Sc. and B.Sc. degrees in Chemical Engineering from Ben-Gurion University.

Shareholding Structure

Tower does not have a controlling shareholder. Its ownership base is primarily composed of Israeli institutional investors, global asset managers, pension funds and insurance companies. The largest shareholder is Migdal Insurance, with approximately 7.75% of outstanding shares. Other major shareholders include T. Rowe Price International, Menora Mivtachim, Phoenix Investments, Harel Provident Funds, BlackRock and Vanguard. Institutional investors collectively own roughly 69% of the company, while the free float exceeds 99%, reflecting Tower's widely dispersed shareholder structure.

Exhibit 28: Migdal Insurance is the largest shareholder with ~7.75% of shares
TSEM's Shareholder List

Major Shareholders	% of shares
Migdal Insurance & Financial Holdings Ltd	7.75
T Rowe Price Group Inc	6.54
Migdal Sal-Domestic Equities	6.46
Menora Mivtachim Holdings Ltd	6.1
Phoenix Cos Inc/The	5.27
Harel Group	5.04
Vanguard Group Inc/The	3.86
BLACKROCK	3.78
Clal Insurance Enterprises Holdings Ltd	3.51
Senvest Management LLC	2.01
Top 10 Owners Total	**50.32**

Source: Bloomberg

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Financial Statements

Exhibit 29: Tower Semiconductor revenue by segment
Tower Semiconductor revenue by segment, 2023-2028E

$ millions	2023	2024	2025	2026E	2027E	2028E
Revenue						
RF mobile	313.0	416.5	360.2	293.5	314.6	361.8
YoY growth		33%	-14%	-19%	7%	15%
QoQ growth						
% of group revenue	22%	29%	23%	14%	10%	9%
Sensors & Display	284.5	215.4	250.6	257.5	276.8	276.8
YoY growth		-24%	16%	3%	7%	0%
QoQ growth						
% of group revenue	20%	15%	16%	13%	9%	7%
RF Infrastructure	142.3	244.1	422.8	967.9	1970.6	2955.9
YoY growth		72%	73%	129%	104%	50%
QoQ growth						
% of group revenue	10%	17%	27%	48%	65%	74%
Discrete	213.4	215.4	172.3	165.6	138.3	113.4
YoY growth		1%	-20%	-4%	-17%	-18%
QoQ growth						
% of group revenue	15%	15%	11%	8%	5%	3%
Power	341.4	215.4	250.6	276.4	265.1	262.5
YoY growth		-37%	16%	10%	-4%	-1%
QoQ growth						
% of group revenue	24%	15%	16%	14%	9%	7%
MS/CMOS/Misc.	99.6	100.5	94.0	73.8	53.9	44.2
YoY growth		1%	-7%	-21%	-27%	-18%
QoQ growth						
% of group revenue	7%	7%	6%	4%	2%	1%
Misc.	28.5	28.7	15.7			
YoY growth		1%	-45%			
QoQ growth						
% of group revenue	2%	2%	1%			
Total Revenue	**1422.7**	**1436.1**	**1566.1**	**2034.7**	**3019.3**	**4,014.5**
YoY growth (Total)		1%	9%	30%	48%	33.0%
QoQ growth						

Source: BofA Global Research estimates, Tower Semiconductor

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Exhibit 30: Tower Semiconductor Income Statement
Tower Semiconductor Income Statement, 2017-2028E

Income statement												
$ millions	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Revenue	**1387.3**	**1304.0**	**1234.0**	**1265.7**	**1508.2**	**1677.6**	**1422.7**	**1436.1**	**1566.1**	**2034.7**	**3019.3**	**4014.5**
YoY growth		-6%	-5%	3%	19%	11%	-15%	1%	9%	30%	48%	33%
QoQ growth												
Cost of sales	**1033.0**	**1011.1**	**1004.3**	**1032.4**	**1179.0**	**1211.3**	**1069.2**	**1096.7**	**1202.3**	**1402.0**	**1884.4**	**2167.8**
YoY growth		-2%	-1%	3%	14%	3%	-12%	3%	10%	17%	34%	419%
as % of Revenue	74%	78%	81%	82%	78%	72%	75%	76%	77%	69%	62%	54%
Gross profit	**354.3**	**292.9**	**229.7**	**233.3**	**329.1**	**466.3**	**353.5**	**339.4**	**363.9**	**632.8**	**1134.8**	**1846.7**
Margin (%)	26%	22%	19%	18%	22%	28%	25%	24%	23%	31%	38%	46%
Incremental margin (%)		74%	90%	12%	40%	81%	44%	-105%	19%			
YoY growth		-17%	-22%	2%	41%	42%	-24%	-4%	7%	74%	79%	63%
Research and development expenses	67.7	73.1	75.6	78.3	85.4	83.9	79.8	79.4	86.5	101.0	116.2	133.6
YoY growth		8%	3%	4%	9%	-2%	-5%	0%	9%	17%	15%	15%
as % of Revenue	5%	5%	5%	6%	6%	6%	6%	6%	6%	5%	4%	3%
Marketing, general and administrative	66.8	65.0	67.4	64.0	77.2	80.3	72.5	75.0	83.2	95.5	105.0	115.5
YoY growth		-3%	4%	-5%	21%	4%	-10%	3%	11%	15%	10%	10%
as % of Revenue	5%	5%	5%	5%	6%	6%	5%	5%	6%	5%	3%	3%
Restructuring cost						-9.559	-346.007	-6.270	0.000	0.000	0.000	0.00
YoY growth												
as % of Revenue						-1%	-25%	0%	0%	0%	0%	0%
Total operating expenses	**134.5**	**138.0**	**143.0**	**142.3**	**162.6**	**154.6**	**-193.7**	**148.1**	**169.7**	**196.5**	**221.2**	**249.1**
YoY growth		3%	4%	0%	14%	-5%	-225%	-176%	15%	16%	13%	377%
QoQ growth												
as % of Revenue	10%	11%	12%	11%	11%	9%	-14%	10%	11%	10%	7%	6%
Operating income	**219.8**	**154.9**	**86.7**	**91.0**	**166.5**	**311.7**	**547.3**	**191.3**	**194.2**	**436.3**	**913.6**	**1597.5**
Margin (%)	16%	12%	7%	7%	11%	19%	38%	13%	12%	21%	30%	40%
YoY growth		-30%	-44%	5%	83%	87%	76%	-65%	1%	1.247	1.094	8.806
EBITDA	**428.3**	**369.3**	**301.2**	**331.6**	**437.2**	**604.3**	**805.3**	**457.6**	**497.3**	**772.8**	**1313.6**	**2097.5**
Margin (%)	*31%*	*28%*	*24%*	*26%*	*29%*	*36%*	*57%*	*32%*	*32%*	*38%*	*44%*	*52%*
Interest expense, net	**-7.8**	**-14.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Other income expense, net	**-10.2**	**-1.6**	**4.3**	**-2.3**	**-11.4**	**-19.7**	**37.6**	**26.1**	**46.2**	45.4	40.0	**40.0**
Income before income tax	**201.8**	**139.3**	**91.0**	**88.7**	**155.1**	**292.0**	**584.8**	**217.4**	**240.4**	**481.7**	**953.6**	**1637.5**
Income tax expense (benefit)	-99.9	5.9	2.9	5.4	1.0	25.5	65.3	10.2	21.6	67.3	143.0	245.6
Tax rate (%)	-50%	4%	3%	6%	1%	9%	11%	5%	9%	14%	15%	15%
Profit before non-controlling interest	301.7	133.4	88.1	83.3	154.1	266.5	519.5	207.2	218.8	414.4	810.6	1391.9
Non-controlling interest	3.6	-2.2	-2.0	1.0	4.1	1.9	6.0	-0.6	-1.7			
Net income	**298.0**	**135.6**	**90.0**	**82.3**	**150.0**	**264.6**	**513.5**	**207.9**	**220.5**	**414.4**	**810.6**	**1391.9**
Margin (%)	*21%*	*10%*	*7%*	*7%*	*10%*	*16%*	*36%*	*14%*	*14%*	*20%*	*27%*	*35%*
YoY growth		-55%	-34%	-9%	82%	76%	94%	-60%	6%	88%	96%	72%
Stock based compensation	11.6	12.7	14.5	17.0	25.1	24.2	14.6	33.8	39.2	39.3	39.8	39.8
Amortization of acquired intangible assets	8.3	6.6	3.1	1.7	2.0	2.0	0.9	1.9	0.0	0.0	0.0	0.0
Other	-92.3	0.0	0.0	0.0	0.0	-9.6	-290.0	-2.6	0.0	0.0	0.0	0.0
Adjusted net income	**225.6**	**154.8**	**107.7**	**100.9**	**177.1**	**281.3**	**239.0**	**241.0**	**259.6**	**453.6**	**850.3**	**1431.7**
Margin (%)	*16%*	*12%*	*9%*	*8%*	*12%*	*17%*	*17%*	*17%*	*17%*	*22%*	*28%*	*36%*
Earnings per share												
Basic	3.03	1.30	0.84	0.76	1.38	2.41	4.63	1.86	1.96	3.67	7.18	12.33

Exhibit 30: Tower Semiconductor Income Statement
Tower Semiconductor Income Statement, 2017-2028E

Income statement												
$ millions	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Diluted	2.79	1.28	0.83	0.76	1.37	2.38	4.61	1.84	1.93	3.62	7.08	12.16
Adjusted Earnings per share												
Basic	2.30	1.49	1.01	0.94	1.63	2.56	2.16	2.16	2.31	4.02	7.53	12.68
Diluted	2.11	1.46	1.00	0.93	1.61	2.54	2.15	2.13	2.27	3.96	7.43	12.51
Weighted average number of shares (mn)												
Basic	98.3	104.0	106.7	107.8	108.4	109.9	110.8	111.5	112.4	112.9	112.9	112.9
Diluted	106.8	105.8	108.0	109.0	109.8	110.9	111.3	113.0	114.2	114.4	114.4	114.4
DPS	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
YoY growth												
Payout ratio	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
Dividend (€m)												

Source: BofA Global Research estimates, Tower Semiconductor

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Exhibit 31: Tower Semiconductor Balance Sheet
Tower Semiconductor Balance Sheet, 2017-2028E

Balance sheet												
$ millions	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Cash and short-term deposits	446.0	385.1	355.6	211.7	210.9	340.8	260.7	271.9	235.4	224.9	399.8	399.8
Short term deposits and marketable securities	113.9	120.1	215.6	310.2	363.6	495.4	790.8	946.4	916.5	1250.2	1250.2	1250.2
Marketable securities	0.0	135.9	176.1	189.0	190.1	169.7	185.0	0.0	0.0	0.0	0.0	0.0
Trade accounts receivable	149.7	153.4	127.0	162.1	142.2	152.9	154.1	211.9	222.8	272.9	438.1	267.3
Inventories	143.3	170.8	192.3	199.1	234.5	302.1	282.7	268.3	256.9	202.0	235.5	267.3
Other current assets	21.5	22.8	22.0	30.8	54.8	34.3	36.0	61.8	78.1	57.3	57.3	57.3
Total current assets	**874.3**	**988.0**	**1088.5**	**1102.9**	**1196.2**	**1495.2**	**1709.2**	**1760.3**	**1709.6**	**2007.4**	**2381.0**	**2241.9**
Long term investments	26.1	35.9	40.1	40.7	39.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Property and Equipment, net	635.1	657.2	681.9	839.2	876.7	962.3	1155.9	1286.6	1463.1	1839.6	2239.6	2739.6
Intangible assets, net	19.8	13.4	10.3	11.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Goodwill and Intangible assets, net	446.0	7.0	7.0	211.7	210.9	340.8	260.7	271.9	0.0	0.0	0.0	0.0
Other assets, net	111.3	88.4	105.0	93.4	99.9	76.1	41.3	23.4	149.6	135.9	135.9	135.9
Total assets	**2112.6**	**1790.0**	**1932.8**	**2298.8**	**2423.4**	**2874.3**	**3167.1**	**3342.2**	**3322.3**	**3982.8**	**4756.5**	**5117.3**
Liabilities and equity												
Short-term debt	106.0	10.8	65.9	113.1	88.4	65.4	62.4	52.3	28.1	16.9	16.9	16.9
Trade accounts payable	115.3	121.4	126.5	104.8	91.7	160.2	147.9	149.8	123.9	179.6	218.3	237.6
Deferred revenue and customers' advances	14.3	20.7	10.3	10.0	40.0	38.9	18.4	21.7	25.6	176.0	176.0	176.0
Other current liabilities	66.7	50.8	50.3	45.0	56.3	122.8	48.1	61.3	86.1	88.6	88.6	88.6
Total current liabilites	**302.4**	**203.7**	**253.1**	**272.9**	**276.3**	**387.4**	**276.8**	**285.1**	**263.7**	**372.5**	**411.2**	**430.5**
Long-term debt	228.7	256.7	245.8	296.2	240.6	217.3	172.6	132.4	133.4	114.8	94.8	74.8
Long-term customers' advances	31.9	29.1	28.7	13.0	60.4	33.7	25.7	7.7	0.0	0.0	0.0	0.0
Long-term employee related liablities	14.7	13.9	13.3	15.8	14.6	7.7	0.0	0.0	0.0	0.0	0.0	0.0
Deferred tax liability and other long-term liabilities	66.3	50.4	45.2	41.3	24.0	13.0	16.3	15.1	20.6	171.1	171.1	171.1
Total liabilities	**643.9**	**553.8**	**586.1**	**639.2**	**615.9**	**659.1**	**491.5**	**440.3**	**417.7**	**658.4**	**677.1**	**676.4**
Equity attributable to company owners	**1036.1**	**1236.2**	**89.5**	**108.3**	**122.0**	**126.6**	**149.4**	**162.4**	**2904.6**	**3324.5**	**4079.4**	**4079.4**
Non controlling interests	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total equity	**1468.7**	**1236.2**	**1346.7**	**1659.6**	**1807.5**	**2215.3**	**2675.6**	**2901.9**	**2904.6**	**3324.5**	**4079.4**	**4441.0**
Total liabilities and equity	**2112.6**	**1790.0**	**1932.8**	**2298.8**	**2423.4**	**2874.3**	**3167.1**	**3342.2**	**3322.3**	**3982.8**	**4756.5**	**5117.3**

Source: BofA Global Research estimates, Tower Semiconductor

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Exhibit 32: Tower Semiconductor Cash Flow

Tower Semiconductor Cash flow, 2017-2028E

Cash flow statement												
$ millions	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Net income	**301.7**	**133.4**	**88.1**	**83.3**	**154.1**	**266.5**	**519.5**	**207.2**	**218.8**	**481.7**	**953.6**	**1637.5**
Depreciation, amortization and impairment	208.4	214.4	214.5	240.5	270.7	292.6	258.0	266.3	303.1	336.5	400.0	500.0
Effects on changes in assets and liabilities												
Trade receivables	-6.6	-3.1	27.3	-33.1	14.3	-15.2	-3.2	-60.2	-10.5	-50.9	-165.2	170.9
Inventories	-7.3	-26.3	-21.0	-2.9	-44.2	-77.9	8.7	4.8	11.8	58.3	-33.5	-31.8
Trade payables	-8.6	-3.5	-0.3	-18.6	-25.0	-20.9	-8.3	35.8	-12.2	-2.9	0.0	0.0
Other non-cash items	-131.9	-1.9	-17.2	7.3	51.4	84.7	-98.3	-5.2	-115.6	-55.1	-200.0	-200.0
Net cash provided by operating activities	**355.6**	**312.9**	**291.3**	**276.6**	**421.3**	**529.8**	**676.6**	**448.7**	**395.5**	**745.5**	**954.9**	**2076.6**
Cash flows from investing activities												
Investments in property and equipment, net	-164.7	-169.7	-172.2	-256.5	-279.3	-213.5	-432.2	-431.7	-436.6	-703.0	-800.0	-1000.0
Deposits and other long-term investments, net	-114.7	-158.5	-132.9	-107.1	-59.7	-115.9	-288.7	31.4	38.5	-24.9	40.0	-150.0
Net cash provided by (used in) investing activities	**-279.5**	**-328.2**	**-305.1**	**-363.6**	**-338.9**	**-329.4**	**-720.8**	**-400.2**	**-398.1**	**-727.8**	**-760.0**	**-1150.0**
Cash flows from financing activities												
Debt received (repaid), net	-50.3	-48.8	-19.4	-63.7	-77.3	-78.4	-32.3	-32.5	-33.4	-25.7	-20.0	-20.0
Proceeds from an investment in a subsidiary							1.9	0.0	0.0	0.0	0.0	0.0
Exercise of warrants and options, net	31.3	0.7	1.8	2.5	0.5	11.7	0.0	0.0	0.0	0.0	0.0	0.0
Dividends payment to Panasonic	-4.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net cash provided by (used in) financing activities	**-23.3**	**-48.1**	**-17.6**	**-61.2**	**-76.9**	**-66.7**	**-30.4**	**-32.5**	**-33.4**	**-25.7**	**-20.0**	**-20.0**
Effect of foreign currency exchange rate change	3.7	2.6	1.8	4.4	-6.2	-3.9	-5.4	-4.8	-0.6	-2.5	0.0	0.0
Net change in cash and cash equivalents	**56.6**	**-60.9**	**-29.5**	**-143.9**	**-0.8**	**129.8**	**-80.1**	**11.2**	**-36.5**	**-8.0**	**174.9**	**906.6**
Cash and cash equivalents at beginning of the period	355.3	446.0	385.1	355.6	211.7	210.9	340.8	260.7	271.9	235.4	224.9	218.1
Cash and cash equivalents at end of the period	446.0	385.1	355.6	211.7	210.9	340.8	260.7	271.9	235.4	224.9	399.8	399.8
Free cash flow	**190.9**	**143.2**	**119.2**	**20.0**	**142.0**	**316.3**	**244.4**	**17.0**	**-41.1**	**42.6**	**154.9**	**1076.6**

Source: BofA Global Research estimates, Tower Semiconductor

BofA GLOBAL RESEARCH

Glossary

Glossary (Tower Semiconductor)

A&D: Aerospace and Defense

ADAS: Advanced Driver Assistance Systems

AI: Artificial Intelligence

Analog IC: Integrated circuit designed to process continuous real-world signals such as voltage, current and temperature

AOC: Active Optical Cable

ASP: Average Selling Price

BCD: Bipolar-CMOS-DMOS process technology used in power management and automotive applications

BiCMOS: Bipolar Complementary Metal-Oxide Semiconductor

BBG: Bloomberg

BSI: Backside Illumination

CMOS: Complementary Metal-Oxide Semiconductor

CPO: Co-packaged Optics

CIS: CMOS Image Sensor

css: consensus

EV: Electric Vehicle

Fab: Semiconductor fabrication facility

FD-SOI: Fully Depleted Silicon-on-Insulator

FX: Foreign Exchange

GaN: Gallium Nitride

HV: High Voltage

IATF 16949: Automotive quality management standard

IC: Integrated Circuit

IGBT: Insulated Gate Bipolar Transistor

IIoT: Industrial Internet of Things

IP: Intellectual Property

MEMS: Micro-Electro-Mechanical Systems

Mixed-Signal IC: Integrated circuit combining analog and digital functions

M&A: Mergers and Acquisition

NPO: Near-Packaged Optics

PM: Portfolio Manager

PMIC: Power Management Integrated Circuit

RF: Radio Frequency

RF SOI: Radio Frequency Silicon-on-Insulator

R&D: Research and Development

RFFE: Radio Frequency Front-End

SiGe: Silicon Germanium

SiPho: Silicon Photonics

SOI: Silicon-on-Insulator

Specialty Foundry: Semiconductor foundry focused on differentiated process technologies rather than leading-edge digital logic nodes

TAM: Total Addressable Market

TPSCo: Tower Partners Semiconductor Co., Tower's Japanese foundry joint venture

WFE: Wafer Fabrication Equipment

Wafer: Thin semiconductor substrate used to manufacture integrated circuits

XPO: eXtra-dense Pluggable Optics

YTD: Year to Date

Price objective basis & risk

Tower Semiconductor Ltd (TSEM / XSEMF)

For our PO of $367/ILS 1,020, we use a target multiple of 20x on 2028E EV/EBITDA, within its 10-year EV/EBITDA range of 3-40x. Tower's valuation multiple has rerated on the acceleration of SiPho demand and is in our opinion underpinned by strong projected EBITDA CAGR through 2028E.

Upside risks are (1) acceleration of optical demand in data centers, (2) content increase from NPO and XPO, (3) better-than-expected market share in CPO, (4) SiGe revenue growth acceleration.

Downside risks are (1) slowdown in data center capex spending, (2) pricing pressure from increased supply, (3) market share risk by competitors, (4) greater-than-expected cost base

Analyst Certification

I, Oliver Wong, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

EMEA - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aixtron	AIXXF	AIXA GR	Oliver Wong
	ASM International N.V	ASMXF	ASM NA	Didier Scemama
	ASML Holding N.V.	ASMLF	ASML NA	Didier Scemama
	ASML Holding N.V.	ASML	ASML US	Didier Scemama
	BE Semiconductor Industries N.V	BESVF	BESI NA	Didier Scemama
	Comet Holding AG	XCHHF	COTN SW	Oliver Wong
	Infineon Technologies AG	IFNNF	IFX GY	Didier Scemama
	Infineon Technologies AG	IFNNY	IFNNY US	Didier Scemama
	Nokia	NOKBF	NOKIA FH	Oliver Wong
	Nokia	NOK	NOK US	Oliver Wong
	Nordic Semiconductor	NDCVF	NOD NO	Oliver Wong
	STMicroelectronics NV	STMEF	STMPA FP	Didier Scemama
	STMicroelectronics NV	STM	STM US	Didier Scemama
	Technoprobe S.p.A.	XMDDF	TPRO IM	Oliver Wong
	Tower Semiconductor Ltd	XSEMF	TSEM IT	Oliver Wong
	Tower Semiconductor Ltd	TSEM	TSEM US	Oliver Wong
	VAT Group AG	VTTGF	VACN SW	Oliver Wong
NEUTRAL				
	Inficon Holding AG	IFCND	IFCN SW	Oliver Wong
	Siltronic AG	SSLLF	WAF GR	Didier Scemama
	Soitec	SLOIF	SOI FP	Oliver Wong
UNDERPERFORM				
	ams Osram AG	AUKUF	AMS SW	Didier Scemama
	Ericsson	ERIXF	ERICB SS	Oliver Wong
	Ericsson	ERIC	ERIC US	Oliver Wong
	Logitech International S.A.	XLGKF	LOGN SW	Didier Scemama
	Logitech International S.A.	LOGI	LOGI US	Didier Scemama
	Melexis	MLXSF	MELE BB	Amelia Banks
	Mycronic AB	MICLF	MYCR SS	Oliver Wong

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

Disclosures

Important Disclosures

Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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